

Labour Markets and the Future of Work: Unemployment

ECON 204 - Contemporary Economic Issues

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- 5.1 Measuring the Unemployment Rate and the Labour Force Participation Rate
- 5.2 Types of Unemployment
- 5.3 Explaining Unemployment

Measuring Unemployment and Inflation

- This lecture: how to measure
 - **Unemployment** in the labour market, and
 - **Inflation** in the goods and services market.
- Both are central for:
 - macroeconomic policy,
 - evaluating economic performance,
 - everyday decisions of households and firms.

5.1 Learning Objective

Goal

Understand how unemployment, labour force participation, and employment rates are measured.

- Canada is a large economy – millions of people, changing jobs all the time.
- We cannot track every person individually in real time.
- Instead, Statistics Canada uses **survey data** to estimate:
 - employment,
 - unemployment,
 - labour force participation,
 - employment-population ratio.

The Labour Force and Unemployment

- **Labour force:** sum of **employed** and **unemployed** workers in the economy.
- **Unemployment rate:** percentage of the labour force that is unemployed:

$$\text{Unemployment rate} = \frac{\text{Number of unemployed}}{\text{Labour force}} \times 100.$$

- These are monthly headline numbers often reported in the news.

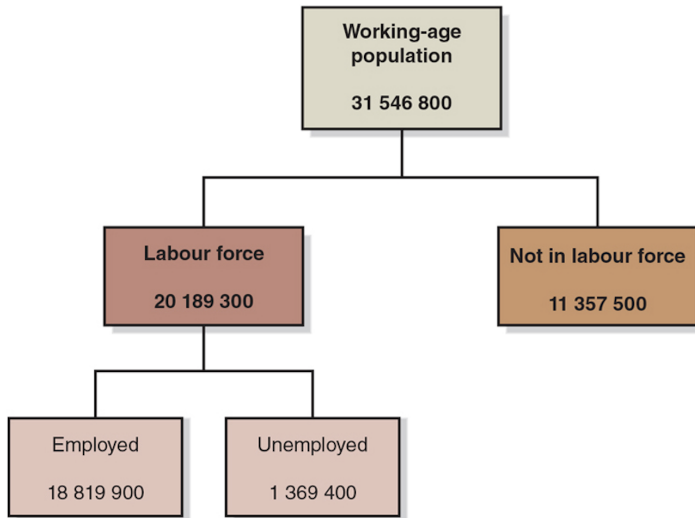
The Labour Force Survey (LFS)

- Each month, Statistics Canada conducts the **Labour Force Survey (LFS)**.
- Roughly **56,000 households** are selected to be representative.
- Members of **working age** (15 years and older) are:
 - asked about employment status, and
 - asked about recent **job search** activities.
- Based on the answers, each person is classified as:
 - **Employed**
 - **Unemployed**
 - **Not in the labour force**

Definitions: Employed, Unemployed, Not in the Labour Force

- **Employed:**
 - Did paid work, or
 - Did unpaid work for a family business, or
 - Worked for themselves, or
 - Were temporarily away from their jobs (vacation, illness, strike).
- **Unemployed:**
 - Not currently at work,
 - *Available* for work,
 - Actively looked for work in the previous four weeks.
- **Not in the labour force:**
 - Neither employed nor unemployed (students not seeking work, retirees, etc.).

Figure 5.1 – Employment Status of the Working-Age Population



- Labour force participation rate:

$$\text{LFPR} = \frac{\text{Labour force}}{\text{Working-age population}} \times 100.$$

- Measures what fraction of working-age people are **actively** in the labour market.
- Helps us distinguish:
 - low unemployment because people have jobs,
 - vs. low unemployment because many have given up looking for work.

- **Employment-population ratio:**

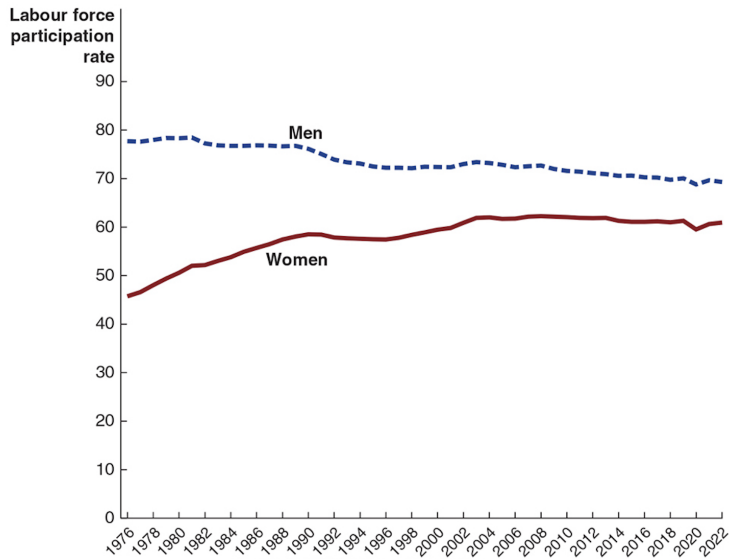
$$\text{Employment-population ratio} = \frac{\text{Number employed}}{\text{Working-age population}} \times 100.$$

- This tells us how many people **actually have jobs**, relative to the working-age population.
- Useful indicator of the **health of the labour market** during expansions and recessions.

Problems with Measuring the Unemployment Rate

- The measured unemployment rate is **not perfect**.
- It may **understate** true unemployment:
 - Distinguishing between **unemployed** and **not in the labour force** can be difficult.
 - **Discouraged workers**: people who have stopped looking for work but would take a job if offered one.
 - It does not measure intensity of employment — e.g., part-time vs. full-time, underemployment.
- It may **overstate** unemployment:
 - Some people may claim to be unemployed while not seriously looking, to keep benefits or avoid taxes.

Figure 5.2 – Trends in Labour Force Participation



- The labour market is **dynamic**:
 - Firms constantly create and destroy jobs.
- Example (from the slide):
 - In January 2022, there were 890,500 more people employed than in January 2021.
 - But the number of jobs **created** was much larger, because many jobs were also **destroyed**.
- Month to month, some provinces can see large job losses even while the national economy is improving.

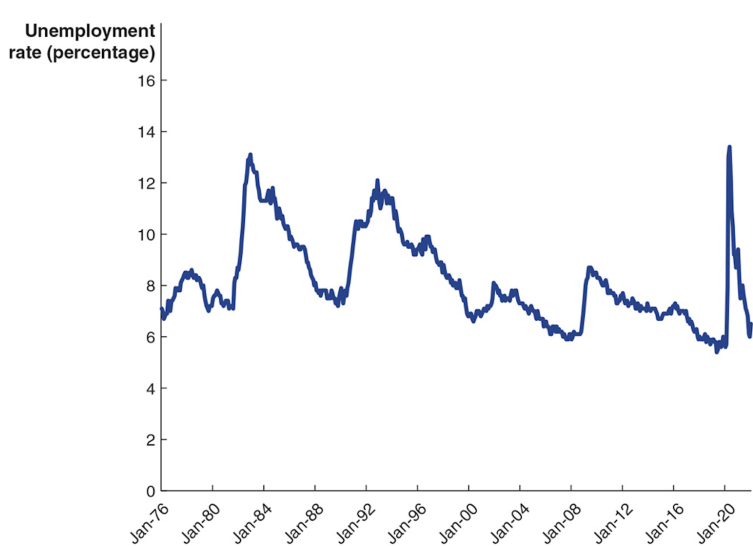
5.2 Learning Objective

Goal

Identify and understand the four types of unemployment.

- Unemployment is not a single phenomenon.
- To interpret unemployment correctly, we distinguish:
 - frictional,
 - structural,
 - cyclical,
 - seasonal unemployment.

Figure 5.3 – The Unemployment Rate in Canada



Four Types of Unemployment

- Frictional unemployment
- Structural unemployment
- Cyclical unemployment
- Seasonal unemployment
- Each type has different causes and different policy implications.

- **Frictional unemployment:**
 - Short-term unemployment that arises from the process of matching workers with jobs.
- Mainly due to **job search**:
 - People entering or re-entering the labour force.
 - People between jobs.
- Some frictional unemployment is **unavoidable**:
 - People need time to learn about opportunities and find good matches.
- In fact, some frictional unemployment can **increase** economic efficiency:
 - It allows workers to find jobs that better fit their skills and preferences.

Example: Frictional Unemployment

- A recent university graduate spends three months searching for a job in their field.
- They are counted as **unemployed**, but this is frictional unemployment.
- From the economy's perspective:
 - It is better for them to search a bit longer and find a suitable, productive job than to accept the first random job.

- **Structural unemployment:**
 - Unemployment that arises from a persistent **mismatch** between the skills and attributes of workers and the requirements of jobs.
- Often associated with:
 - technological change,
 - changes in demand for certain industries,
 - regional shifts in economic activity.
- Structural unemployment tends to be **longer-term**:
 - Workers may need retraining or relocation.

Example: Structural Unemployment

- A manufacturing worker loses their job due to automation.
- Their skills do not easily transfer to growing sectors such as IT or health care.
- Without retraining, they may remain unemployed for a long period.

- **Cyclical unemployment:**
 - Unemployment caused by a **business cycle recession**.
- When aggregate demand falls:
 - firms reduce output,
 - and lay off workers even if workers are skilled and jobs are otherwise a good match.
- Example:
 - In February 2009, Chrysler temporarily closed its assembly plant in Brampton, Ontario, due to low sales.
 - Laid-off employees experienced **cyclical unemployment**.

- **Seasonal unemployment:**
 - Unemployment due to seasonal factors such as weather or calendar patterns.
- Examples:
 - Construction and tourism often slow in winter.
 - Agriculture, fisheries, and some retail sectors are highly seasonal.
- Seasonal unemployment can make the measured unemployment rate:
 - artificially high in winter,
 - artificially low in summer.
- To address this, Statistics Canada provides:
 - **seasonally adjusted** series (seasonal effects removed),
 - **unadjusted** series (seasonal effects included).

Full Employment and the Natural Rate of Unemployment

- Even in good times, there is always some unemployment.
- When all unemployment is due to frictional and structural factors, the economy is at **full employment**.
- **Natural rate of unemployment:**
 - The normal rate of unemployment, consisting of frictional and structural unemployment.
- Estimates for Canada suggest a natural rate around **5.6–6.7%** in recent years.

5.3 Learning Objective

Goal

Explain what determines the unemployment rate and how policy affects it.

- Governments often try to influence unemployment directly and indirectly.
- Some policies **reduce** frictional or structural unemployment.
- Other policies can unintentionally **increase** unemployment.

- Examples of policies that can **reduce unemployment**:
 - Retraining programs (e.g., Ontario's "Better Jobs Ontario") to reduce structural unemployment.
 - Hiring subsidies or job search assistance to reduce frictional unemployment.
- Examples of policies that might **increase unemployment**:
 - Employment insurance (if very generous),
 - Minimum wage laws that raise the cost of hiring,
 - Some labour market regulations.

Employment Insurance (EI)

- Suppose you lose your job. You can:
 - take a new low-paying job immediately, or
 - search for a better job that matches your skills.
- If **employment insurance** payments are available, you are more likely to choose the second option.
- In Canada, EI replaces about **55%** of earnings up to a weekly maximum (e.g., \$595 per week in 2021).
- EI effects:
 - Allows more time for job search $\Rightarrow$ better matches, higher productivity.
 - But also tends to **increase** the average duration of unemployment.

Minimum Wage Laws

- Minimum wage laws are designed to help low-income workers.
- Raising the minimum wage increases the **cost of labour**.
- Firms may respond by:
 - hiring fewer workers,
 - substituting capital for labour,
 - reducing hours.
- In Canada, minimum wages vary by province:

Region	Example Minimum Wage (June 2022)
Nunavut	\$16.00/hour
New Brunswick	\$12.75/hour

- Studies suggest a 10% increase in the minimum wage might reduce teenage employment by about 2%.
- Overall effect on total unemployment is believed to be **relatively small**.

- **Labour unions:** organizations of workers that bargain with employers for:
 - higher wages,
 - better working conditions.
- Unions can push wages above the competitive level for their members.
- In Canada:
 - about **30.9%** of workers belonged to a union by the end of 2021,
 - roughly **77.2%** of government employees are unionized,
 - only about **15.3%** of private-sector workers are unionized.
- Conclusion: unions likely have **limited impact** on overall unemployment in Canada.

- **Efficiency wage:** a wage above the market-clearing level that firms pay to increase workers' productivity.
- Why pay more than necessary?
 - Higher wages can reduce worker turnover.
 - They can increase effort and reduce shirking.
 - They can attract higher-quality applicants.
- But paying an efficiency wage means:
 - firms hire fewer workers,
 - some workers who want jobs at that wage cannot find them.
- This contributes to **persistent unemployment**, even when the economy is not in recession.

- The unemployment rate, labour force participation rate, and employment-population ratio summarize labour market conditions.
- Unemployment has four main types: frictional, structural, cyclical, and seasonal.
- Policies such as EI, minimum wage laws, unions, and efficiency wages affect unemployment in different ways.

Thank you!